



Commodity Shock & Inflation

The 2022 energy/food price shock, told from real public data

EURO GAS PEAK

+151%

PANEL INFLATION 2022

6.1%

BRENT CRUDE PEAK

+38%

REFERENCE EVENT

Feb 2022

Simon Sangla · Source: FRED + World Bank (vendored snapshot)

How far did the 2022 supply shock move prices and inflation?

Russia and Ukraine are central to global energy and grain exports. After the 24 Feb 2022 invasion, energy and food commodities spiked and consumer inflation reached multi-decade highs.

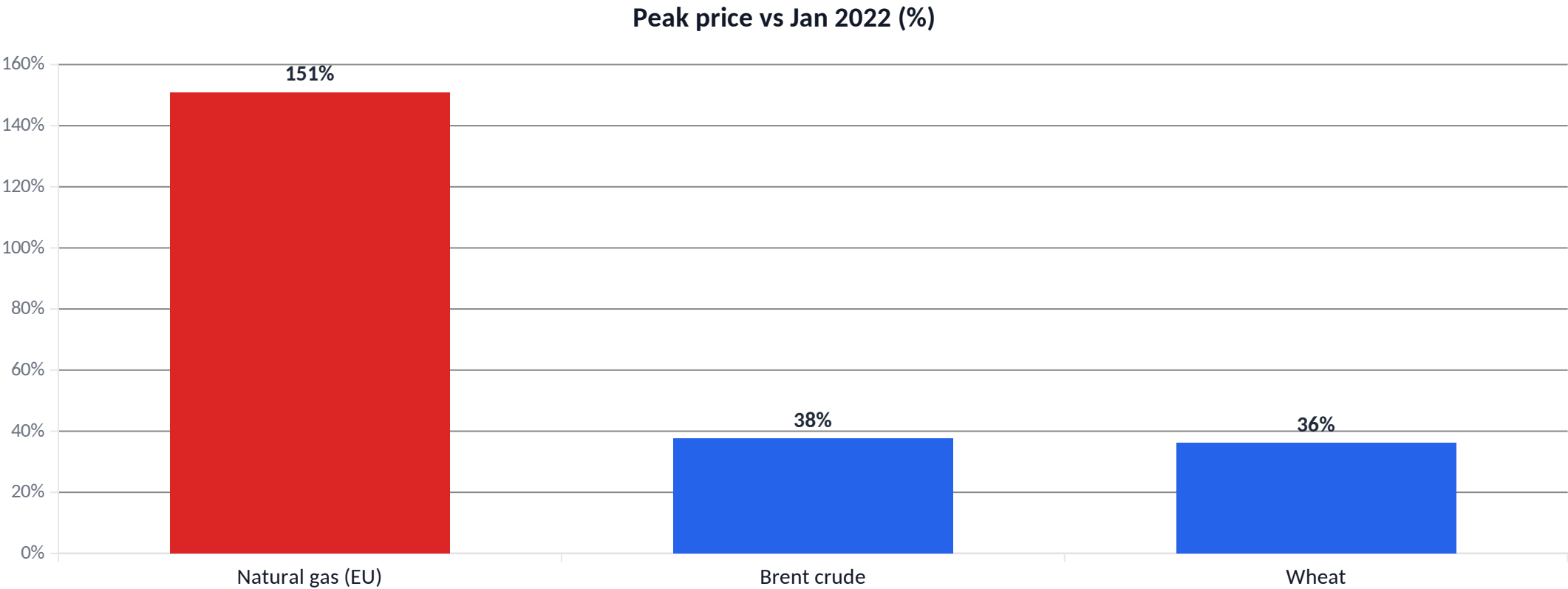
This deck quantifies the move and the co-movement - and is explicit about what it does and does not claim.

How the numbers were built

- Commodity prices: monthly Brent, wheat, and European natural gas (FRED), Jan 2019 - Dec 2023.
- Inflation: annual consumer-price inflation for five economies (World Bank).
- Prices indexed to Jan 2022 = 100 so three different units compare on one scale.
- Vendored snapshot - the build is offline and reproducible.

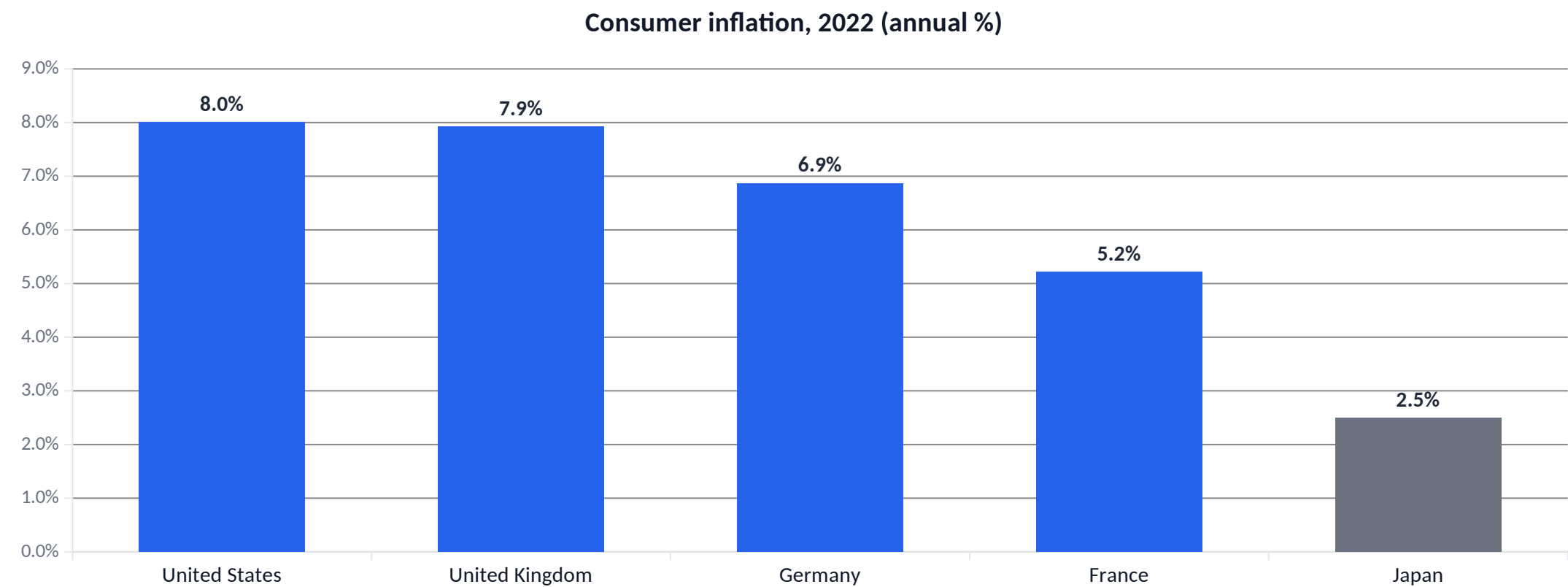
FINDING 1

Commodities spiked - European gas most of all



FINDING 2

Inflation followed - broad, but uneven



FINDING 3

One shock, uneven landing - and not the only driver

- Japan peaked at just 2.5% in 2022 while the US hit 8.0% - same global shock, very different pass-through.
- Commodity shocks were one driver among several (post-pandemic demand, supply chains, monetary policy).
- European gas was already elevated in late 2021, so the +151% is measured off the Jan 2022 reference, not attributed wholesale to the war.

US INFLATION 2022

8.0%

JAPAN INFLATION 2022

2.5%

EURO GAS PEAK

+151%

5-ECONOMY AVG

6.1%

TAKEAWAY

What this means for a decision-maker

- Energy is the sharp lever: gas moved far more than oil or grain, so energy exposure dominated the inflation pass-through.
- Pass-through is policy- and structure-dependent - Japan absorbed the same shock with a fraction of the inflation.
- Watch the reference point: % moves off a local trough overstate the war-specific component. State the baseline.

Sources, method, and caveat

- Commodity prices: FRED (Brent POILBREUSDM, wheat PWHEAMTUSDM, EU gas PNGASEUUSDM), monthly.
- Inflation: World Bank FP.CPI.TOTL.ZG, annual, 5 economies.
- Index = price / Jan-2022 price x 100. Vendored snapshot; values rounded to 2 decimals.
- Caveat: timeline and co-movement, NOT a sole-cause claim.